

AI Governance and Guardrails

A Spotlight on Governing Artificial Intelligence (AI) to Safeguard Ethical Operations and Regulatory Compliance

Regulatory Landscape

The regulatory landscape for artificial intelligence (AI) is rapidly evolving across jurisdictions and industries, combining formal legislation, sector-specific guidance, and emerging frameworks that shape how organizations govern, deploy, and monitor AI responsibly.

JURISDICTIONAL

US

OMB M-24-10 requires US agencies to appoint a Chief AI Officer (CAIO), maintain AI inventories, assess risks, and apply safeguards—serving as a model for private-sector AI governance.

UK

The UK's sector-led framework applies model risk principles to AI and Machine Learning (ML) under PRA SS1/23, May 2024, as regulators align ahead of broader AI laws.

EUROPE

The EU AI Act (July 2024) imposes risk-tiered obligations and steep penalties, applying even to non-EU firms and requiring conformity assessments for high-risk AI systems.

INDUSTRY

Singapore (MAS FEAT & Veritas Toolkit 2.0): Framework and tools promoting fairness, ethics, accountability, and transparency in AI for financial institutions.

OECD AI Principles: Global standards advocating human-centered, transparent, and accountable AI aligned with democratic values.

ISO 27001: International standard for establishing and maintaining robust information security management systems.

NIST: US framework providing AI risk management, cybersecurity, and trustworthiness guidelines to support safe and responsible AI use.

EMERGING

Local and emerging rules such as New York's bias audits under Local Law 144 and Australia's proposed AI guardrails underscore the need for jurisdiction-specific compliance overlays.



AI Governance: Accountability, Policy, and Evidence for Compliance

AI governance is the system of roles, policies, and checks that ensure AI is used safely, ethically, and in compliance with emerging laws so it remains trustworthy and under human control. AI will fall into traditional, but adaptable frameworks: Who is in charge? What rules are followed? How are they checked? and What happens when something goes wrong?

GOVERNANCE AND ACCOUNTABILITY

- Board - Approves AI strategy, risk appetite, policies
- Accountable Executive (CAIO)– Maintains inventory, ensures compliance
- AI Risk and Compliance Committee – Cross-functional oversight, approvals
- Risk Assessment – Monitor Action Risk
- Model Risk Management/Validation - Extends MRM to AI/ML
- Lines of Defense (LOD) – Own, challenge, assure



LIFECYCLE CONTROLS

- Pre-Deployment – Risk/impact assessments, validation, oversight
- Deployment – Continuous monitoring (bias, drift, security)
- Change/Decommission – Triggered reviews, rollback, archived records

CORE POLICY SUITE

- AI Governance Policy – Roles, RACI, classification
- Model Risk Policy – Validation, monitoring, drift, bias
- Data Governance Policy – Lineage, quality, privacy
- Responsible AI Standard – Fairness, explainability
- GenAI Policy – Safe use, copyright, validation
- Third-Party AI Standard – Vendor due diligence
- Human Oversight & Explainability Standard - human control/transparency
- Incident Escalation & Disclosure – Kill switch, regulator notification
- Training Policy – Role-based competency

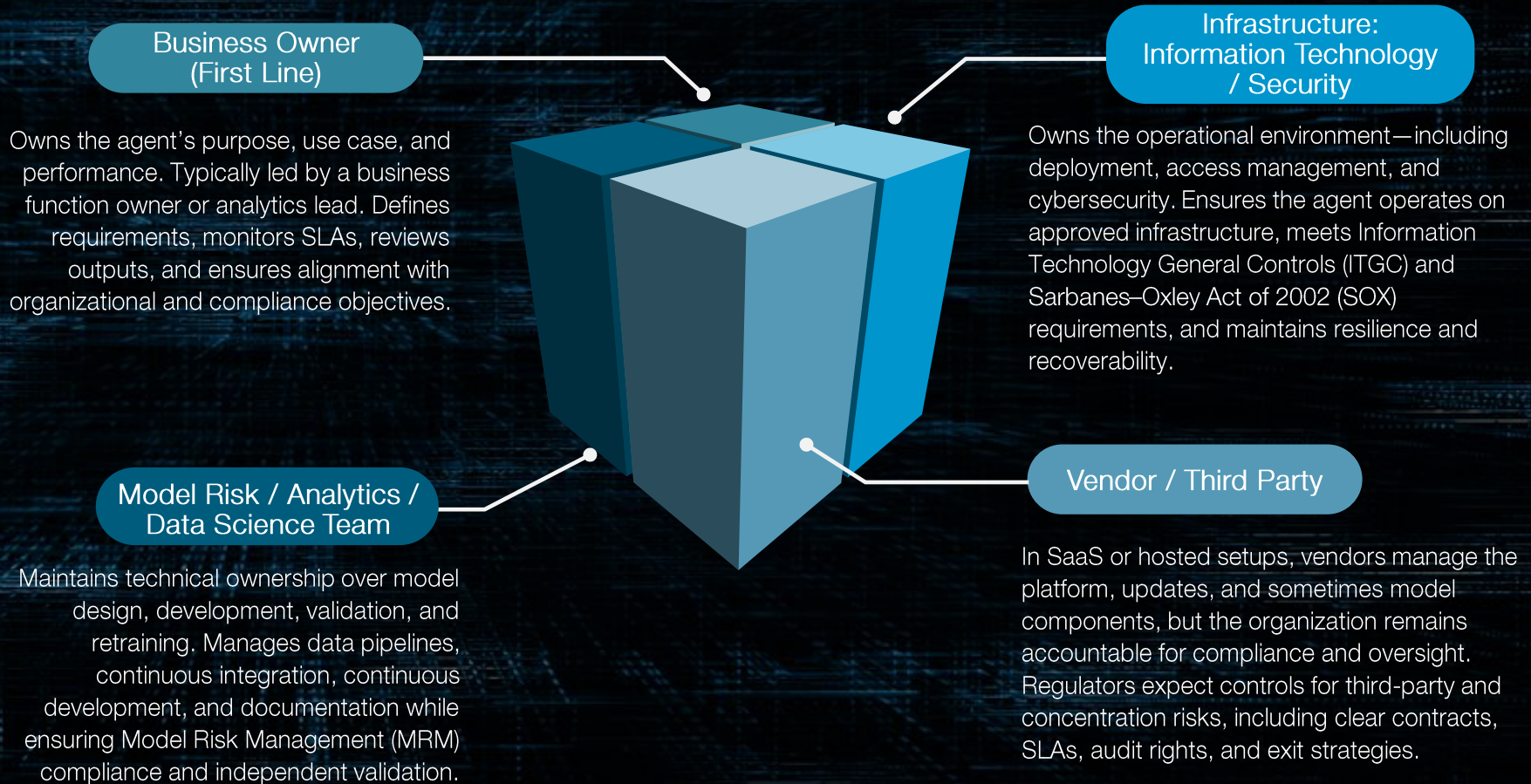
REGULATOR-READY EVIDENCE PACK

- AI Inventory and Risk Register
- Impact and Bias Assessments
- Validation Reports and Model Cards
- Committee Minutes and Board Reports
- Incident Logs and Escalations
- Third-Party Due Diligence and Contracts
- Training Records and Audit Reports



AI Agent Accountability

Ownership and accountability of AI agents should be clearly assigned across business, technical, and operational lines to ensure accountability, control integrity, and compliance assurance.



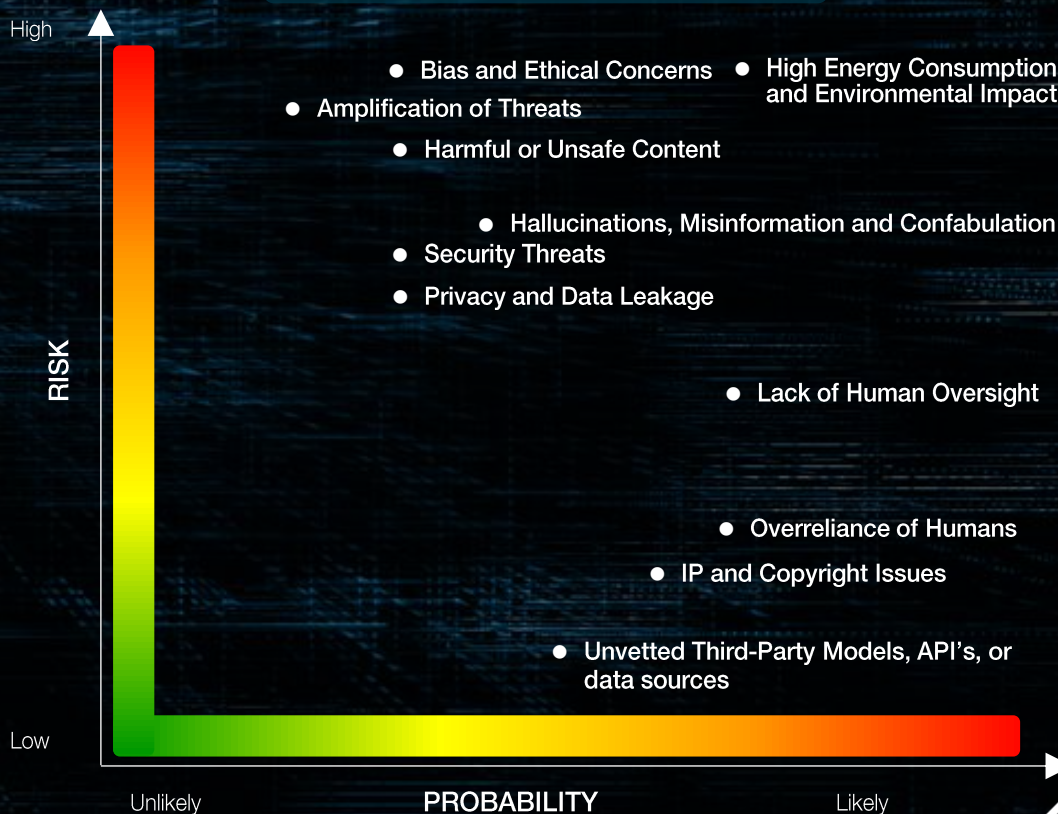
AI Agents and Risk Assessments

AI agents can process large and a wide-range of datasets to identify threats and anomalies, no matter how complex, to automate repetitive tasks, and to provide highly contextual insights for a faster and more precise risk scoring. While AI risk assessments focus on providing accurate, unbiased and fair classifications and recommendations, output quality, and still requires human review, AI agents introduce action risk, which refers to the consequences of autonomous decisions and actions that are taken without human intervention.

GENERAL BENEFITS

- ✓ **Enhanced Accuracy and Efficiency** – AI agents can process vast datasets quickly that human analysts are unable to do.
- ✓ **Predictive and Real-time Insights** – Continuous monitoring of data streams and the ability to provide instant updates on emerging risks, which allows immediate response before a threat escalates.
- ✓ **Automation and Scalability** – Automating time-consuming tasks, which allows human intervention to be focused on higher-value functions and the scale to handle increasing data volumes for future expansion.
- ✓ **Proactive Risk Management and Improved Decision-Making** – Processing of context-rich and real-time information enables proactive responses and faster decision-making for risk mitigation.
- ✓ **Multiple Applications and Use** – Can be applied to different industries and use cases.

RISK ASSESSMENT MATRIX



Discover what Stratis Advisory can do for you



AI Program Development

As Agentic AI capabilities—such as autonomous reasoning, planning, and self-refining—become embedded in operations, an AI program ensures alignment with regulatory expectations and mitigates emerging risks. At full spectrum, from design, deployment, up to governance and assurance, Stratis can help you develop a scale-appropriate AI program tailored to your operating model, risk profile, and jurisdictional exposure ensuring your Agentic AI systems remain compliant and future-proof.



AI Deployment and Assurance

The AI agent assurance process is crucial to build confidence in the operational trustworthiness, safety and responsibility of an AI agent throughout its lifecycle, from pre- to- post deployment. Stratis can help perform a structured approach in your agent assurance, from the definition of objectives and AI agent performance metrics, testing and evaluation, and continuous monitoring and calibration, to documentation and reporting and independent audits. This will ensure your AI agent's reliability and compliance to maintain its performance and manage risks.



AI Governance

AI governance sets the parameters for accountability, systems, policies and controls, to maintain a safe, ethical and compliant AI agent model. Stratis can assist you in developing and executing your AI governance, lifecycle controls and regulatory readiness, which will ensure that your AI agents remain under human and systemic oversight.



